

Comment on the Notice of Proposed Rulemaking: Permitted Payment Stablecoin Issuer Customer Identification Program

Submitted to: Financial Crimes Enforcement Network, via the Federal eRulemaking Portal (<https://www.regulations.gov>) under Docket FINCEN-2026-0101

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Introduction and summary

Tokenization Systems is an independent research program studying the operational control layer of tokenized financial systems: the technical and organizational functions through which a stablecoin issuer or interface operator actually exercises control over issuance, reserve custody, transaction routing, and the execution of lawful orders. Tokenization Systems develops measurement instruments that make those control functions observable to supervisors, including the Minimum Viable Equivalence Pack, a ten-category structural diagnostic for diligence at decision points, and the Control Layer Intensity Index for continuous monitoring.

Tokenization Systems has submitted prior comments to the Financial Crimes Enforcement Network on the general anti-money-laundering rulemaking (FINCEN-2026-0034) and, jointly addressed to the Office of Foreign Assets Control, on the permitted-payment-stablecoin-issuer anti-money-laundering and sanctions program rulemaking (FINCEN-2026-0100), each with a supplemental comment filed June 9, 2026. This comment is Tokenization Systems' fifth comment to FinCEN. Tokenization Systems has also commented to the Office of the Comptroller of the Currency on its rule implementing the GENIUS Act for payment stablecoin issuance (RIN 1557-AF41) and on the Bank Secrecy Act and sanctions compliance rule for OCC-supervised issuers (RIN 1557-AF55); to the Federal Deposit Insurance Corporation on the prudential activities rule (RIN 3064-AG19), the application-process rule (RIN 3064-AG20), and the Bank Secrecy Act and sanctions compliance standards rule (RIN 3064-AG29); to the National Credit Union Administration on its GENIUS Act rulemaking; to the Department of the Treasury on state-similarity principles; to the Federal banking agencies on the joint anti-money-laundering rule (91 Fed. Reg. 18304); and to the U.S. Securities and Exchange Commission on its draft strategic plan. The recommendations below are designed to coordinate with those parallel rulemakings rather than to duplicate or contradict them; where a position is already on the record, this comment cites the prior filing instead of re-arguing it.

This rule occupies a distinct position in that architecture. The companion rulemaking at 91 Fed. Reg. 18582 sets what a permitted payment stablecoin issuer’s anti-money-laundering and sanctions programs must contain. This rule sets something narrower and more foundational: **who the issuer must identify, and what relationship triggers the duty to identify them.** It does that through three proposed definitions at 31 CFR 1033.100 (account, customer, and digital asset service provider) and a customer identification program at proposed 31 CFR 1033.220. Every other obligation in the PPSI framework that operates on a customer or an account inherits the boundary these definitions draw.

The central proposition of this comment is that **the account definition is doing two different jobs in the GENIUS Act framework, and this proposal codifies only one of them while disclaiming the other in a footnote.** Proposed 31 CFR 1033.100(a) defines an account for customer identification purposes as a formal relationship, and expressly excludes “ownership or control of a permitted payment stablecoin issuer’s payment stablecoins alone, without other indicators of a formal relationship.” Separately, the GENIUS Act conditions the lawful-order obligation at 12 U.S.C. 5903(a)(6)(B) on a definition of lawful order that is itself framed in terms of accounts, at 12 U.S.C. 5901(16)(B). FinCEN addresses the relationship between the two in footnote 57, stating that it “is not intending, however, to apply the proposed CIP definition of account to that obligation.” That disclaimer appears in a footnote to the preamble. It appears nowhere in the proposed regulatory text. Meanwhile proposed 31 CFR 1033.220(c) does appear in regulatory text and does expressly preserve the lawful-order obligation, without carrying the definitional disclaimer with it. A codified narrow definition of account sitting beside a codified cross-reference to the lawful-order obligation, with only an uncoded footnote separating them, is an invitation to read the first into the second. If that reading takes hold, a blocking order directed at a wallet address would be directed at something the regulation says is not an account.

The remaining recommendations follow from the same concern with what is observable and what is merely asserted. Three of them address the account object directly (the hallmarks of a formal relationship, a divergence between the preamble and the codified text, and the redemption-only relationship the rule invites comment on). Two address the measured population and the reliance chain built on it: the regulatory impact analysis estimates the affected population from on-chain minting and redemption activity, while the rule’s obligation attaches to contractually formalized relationships, and those are different objects that Tokenization Systems has measured separately; and the rule permits reliance on another institution’s procedures along a boundary the preamble itself identifies as asymmetric. Two address verification method and screening: digital identity credentials, and a list-comparison obligation whose lists do not yet exist.

A note on scope and evidence precedes the recommendations. Where this comment draws on Tokenization Systems’ empirical work, that work studies stablecoin issuers and decentralized-finance protocols as they operate today, not permitted payment stablecoin issuers, a category that does not yet have occupants. Findings are offered to illustrate a measurement method and to supply data the Agencies have expressly requested, not as

claims about any future PPSI or as allegations about any named entity. The comment flags this qualification at each point of use. Two externally sourced figures recur below (882 verified redemption accounts at Tether and 1,834 Circle Mint accounts); both are drawn from published legal scholarship, the Circle figure carries an as-of date of March 2025 in that source, and both are flagged with those provenance limits wherever they appear.

The eight recommendations are mapped below to the Agencies’ questions and to the action requested in the final rule or preamble. Questions from Section VI are cited as Q1 through Q8; questions from the Additional Requests for Comment in Section VIII.I are cited as AQ1 through AQ16.

Recommendation	Question or provision	Requested final-rule action	Why it matters
1. Codify the account-definition boundary	Q2, Q3; proposed 1033.100(a), 1033.220(c)	Move the footnote 57 disclaimer into regulatory text, so the customer-identification definition of account cannot be read into the lawful-order obligation.	A narrow codified definition beside a codified lawful-order cross-reference invites a reading that would exclude wallet addresses from lawful orders.
2. Observable hallmarks of a formal relationship	Q2, Q3; proposed 1033.100(a)(1)	Retain “formal relationship” but state its hallmarks as observable attributes, and reconcile the divergence with the mutual fund CIP formulation.	A relationship test that turns on the issuer’s own characterization is not examinable; the attributes that would make it examinable are already countable today.
3. Conform the preamble to the codified account text	Q2; proposed 1033.100(a)(1)(v)	Resolve the divergence between the preamble description of subparagraph (a)(1)(v), which carries three qualifiers, and the codified text, which carries none, by retaining the codified text and correcting the preamble.	As codified and as described, the provision has materially different scope; the qualified reading would relieve an issuer of customer identification duties precisely where its activities were unauthorized.

Recommendation	Question or provision	Requested final-rule action	Why it matters
4. Redemption-only relationships	Q4; proposed 1033.100(b)(2)(iv), 1033.220(a)(2)(ii)	Confirm that verification may follow account opening within a reasonable period for a redemption-triggered account, so the rule does not operate as a redemption gate.	Redemption is the exit path, and the measured direct-redemption perimeter is already narrow; a verification-before-redemption reading would narrow it further.
5. The population estimate measures a different object than the rule reaches	AQ1, AQ4, AQ8, AQ9; Q1	State which object the population estimate measures, and re-derive the affected-population and burden estimates on the account-holder object the rule defines.	The analysis counts on-chain counterparties; the obligation attaches to formal relationships. Independent measurement of the contractual perimeter finds counts three orders of magnitude below the analysis mean.
6. Reliance asymmetry and the threshold that determines which side an issuer sits on	Q7; AQ5, AQ12; proposed 1033.220(a)(6)	Address the asymmetry the preamble identifies between federally regulated PPSIs and state qualified PPSIs, and reconcile the measurement basis of the ten-billion-dollar threshold across the parallel rules.	The same numeral is measured on at least three different bases across these rulemakings, and it determines an issuer's position in the reliance chain.
7. Digital identity and verifiable credentials	Q5, Q6, Q8; proposed 1033.220(a)(2)(ii)	State observable criteria by which a credential supports a reasonable belief, rather than naming tools or accepting vendor attestation.	The Agencies observe that these tools vary in trustworthiness; trustworthiness is measurable, and a rule that does not say how it is measured will be satisfied by attestation.

Recommendation	Question or provision	Requested final-rule action	Why it matters
8. List comparison with no designated lists	Q8; proposed 1033.220(a)(4)	State the designation mechanism and the notification timing, and confirm the relationship between this obligation and existing sanctions screening.	An obligation whose object does not yet exist cannot be examined for effectiveness, and cannot be costed.

The highest-priority implementation language could be framed as follows:

- **Possible regulatory text at proposed 31 CFR 1033.100(a):** “The definition of account in this paragraph (a) applies for purposes of Sec. 1033.220 only, and does not limit the meaning of account as used in 12 U.S.C. 5901(16)(B) or in the obligation preserved by Sec. 1033.220(c).”
- **Possible regulatory text at proposed 31 CFR 1033.220(c):** add, at the end, “and the definitions in Sec. 1033.100 do not narrow the scope of those requirements.”
- **Preamble clarification for proposed 31 CFR 1033.100(a)(1):** “Indicators of a formal relationship include a contractual right of redemption against the issuer, an onboarding record created by the issuer, inclusion on an issuer-maintained authorized-participant or minter list, and a custody or safekeeping agreement with the issuer. The absence of a written agreement does not defeat a formal relationship where these indicators are otherwise present.”
- **Preamble clarification for proposed 31 CFR 1033.220(a)(2)(ii):** “Where an account is established by a request to redeem, the issuer may verify identity within a reasonable period after the account is opened, consistent with this paragraph, and this section does not require verification to be completed before a redemption request is accepted.”
- **Preamble clarification for the regulatory impact analysis:** “The population estimates in this analysis are derived from observed on-chain minting and redemption counterparties. The customer identification obligation attaches to persons with whom the issuer has a formal relationship as defined in Sec. 1033.100(a). The Agencies invite comment on the difference between these populations.”

The recommendations also align with the parallel federal rulemakings and answer the principal objections likely to arise:

Issue	This proposal	Sibling proposal(s)	Recommended alignment
Meaning of account	FINCEN-2026-0101 defines account for customer identification purposes at proposed 1033.100(a) and disclaims application to lawful orders in footnote 57.	FINCEN-2026-0100 defines lawful order at proposed 31 CFR 1010.100(rrr), where Tokenization Systems recommended that account include wallet addresses.	Codify the boundary rather than stating it in a footnote, so the two definitions cannot merge by implication.
Reliance across supervisory regimes	FINCEN-2026-0101 permits reliance only on a Federal functionally regulated institution, which the preamble acknowledges disadvantages federally regulated PPSIs relative to state qualified issuers.	The GENIUS Act state-supervision option at 12 U.S.C. 5903(c) keys to consolidated total outstanding issuance of not more than ten billion dollars.	Reconcile the asymmetry, and state the measurement basis of the threshold that determines it.
Ten-billion-dollar threshold basis	The state-supervision eligibility threshold is measured on consolidated total outstanding issuance.	RIN 1557-AF55 offers a consultation threshold of ten billion dollars or more in assets; RIN 3064-AG29 offers ten billion dollars or more in outstanding issuance value.	Adopt a single measurement basis, or state expressly that the three thresholds measure different quantities and are not intended to align.
Operational verification over attestation	FINCEN-2026-0101 requires procedures enabling a reasonable belief as to identity.	RIN 1557-AF55 Recommendation 1 and RIN 3064-AG29 Recommendation 1 addressed the same attestation gap in the effective-program disposition.	Apply the same observable-evidence standard to identity verification that the program recommended for program effectiveness.

Issue	This proposal	Sibling proposal(s)	Recommended alignment
Secondary market treatment	FINCEN-2026-0101 excludes secondary market activity from the account and customer definitions and asks in Q1 whether any requirement should extend to it.	FINCEN-2026-0100 Recommendation 5 addressed graduated secondary market treatment for suspicious-activity reporting.	Keep the customer identification perimeter at the primary market, and address secondary market risk through the monitoring and reporting instruments where it belongs.

The main anticipated objections are manageable. If the Agencies are concerned that Recommendation 1 asks them to decide the meaning of account for lawful-order purposes in a customer identification rule, it does not: it asks only that the disclaimer FinCEN has already written be placed where it will bind, leaving the affirmative scope of the lawful-order account to the docket where that question lives. If the Agencies are concerned that Recommendation 2 would convert a flexible standard into a checklist, the recommendation is expressly non-exclusive and preserves the risk-based structure; it states indicators sufficient to establish a formal relationship rather than necessary conditions. If the Agencies are concerned that Recommendation 5 disputes the cost analysis, it does not reach the cost estimates; it addresses the object on which the population count is taken, which is prior to costing, and it supplies the data AQ4 requests.

I. Group I: What the rule identifies a customer for, and the account object that determines it (Recommendations 1 through 4)

Recommendation 1 (Questions 2 and 3; proposed 31 CFR 1033.100(a) and 1033.220(c)): Codify the boundary between the customer identification account and the lawful-order account

Question 2 asks whether the Agencies should refine or clarify the definitions of account, customer, or digital asset service provider. Tokenization Systems recommends one refinement above all others: **state in regulatory text what footnote 57 states in a footnote.**

The structure that creates the risk is visible on the face of the proposal. Proposed 31 CFR 1033.100(a)(1) defines an account as “a formal relationship between a customer and a permitted payment stablecoin issuer established to provide or engage in services, dealings, or other financial transactions.” Proposed 31 CFR 1033.100(a)(2)(iv) then provides that an account does not include “[o]wnership or control of a permitted payment stablecoin issuer’s payment stablecoins alone, without other indicators of a formal relationship.” For customer identification purposes that exclusion is sound, and Tokenization Systems does not oppose

it: a person who holds a token acquired on the secondary market has had no interaction through which an issuer could collect or verify identifying information, and the Agencies are correct that a contrary rule would impose an obligation that is, in the preamble’s words, “nearly impossible for PPSIs to implement.”

The difficulty is what sits next to that exclusion. Proposed 31 CFR 1033.220(c) provides, in codified text, that nothing in that section relieves a PPSI of its obligation to comply with any other provision of this chapter, “including provisions concerning information that must be obtained, verified, or maintained in connection with any account or transaction, or its obligations with respect to complying with the terms of any lawful order as set forth in this chapter.” The lawful-order obligation is thus expressly preserved in the codified text of this rule, and preserved by reference to this same chapter, which is the chapter in which the proposed account definition at Section 1033.100 would also sit. The statutory definition of a lawful order at 12 U.S.C. 5901(16)(B) is framed in terms of accounts. And the only statement that the account definition codified a few paragraphs earlier does not govern that obligation appears in footnote 57 of the preamble, which says that FinCEN “is not intending, however, to apply the proposed CIP definition of account to that obligation.”

Preamble statements guide interpretation; codified definitions bind. A final rule that codifies a narrow definition of account, codifies a cross-reference to the lawful-order obligation, and leaves the separation between them in an uncoded footnote has created a live interpretive argument that the narrow definition travels. The consequence is specific and serious. The operational target of a blocking, freezing, or burn instruction is a wallet address. Under proposed 31 CFR 1033.100(a)(2)(iv), ownership or control of stablecoins at a wallet address, standing alone, is not an account. A PPSI resisting a lawful order, or a court assessing whether an order identifies its target with sufficient particularity, would have a codified definition to point to and only a footnote to overcome.

Tokenization Systems raised the underlying question in its comment on FINCEN-2026-0100 (Recommendation 3), recommending that account, for purposes of lawful orders, be clarified to include any identifier used to hold a payment stablecoin, including a wallet address. This comment does not re-argue that recommendation, which remains on the record in the docket where the lawful-order definition is proposed. The increment here is narrower and, Tokenization Systems suggests, easier for the Agencies to accept: whatever the affirmative scope of the lawful-order account turns out to be, this rule should not be the instrument that narrows it by implication. FinCEN has already decided the point and written it down. The recommendation is that it be written down somewhere that binds.

Two drafting routes would accomplish this. The Agencies could add to proposed 31 CFR 1033.100(a) a sentence limiting the definition to Section 1033.220 and disclaiming any effect on 12 U.S.C. 5901(16)(B). Alternatively, and with equivalent effect, they could add a clause to the end of proposed 31 CFR 1033.220(c) stating that the definitions in Section 1033.100 do not narrow the scope of the requirements that provision preserves. Either is a short addition to text the Agencies are already promulgating, and neither requires the Agencies to resolve, in this rule, what the lawful-order account affirmatively includes.

**Recommendation 2 (Questions 2 and 3; proposed 31 CFR 1033.100(a)(1)):
Retain “formal relationship” and state its hallmarks as observable attributes**

Question 3 asks a set of questions directly: whether to retain “formal relationship” in the account definition, what the hallmarks of a formal relationship are, whether the Agencies should provide examples or attributes in guidance, and whether another concept, such as a contractual or business relationship, would be a better foundation.

Tokenization Systems recommends retaining “formal relationship” and adding stated hallmarks. The term should be retained because, as the Agencies note, it aligns the PPSI rule with the bank, broker-dealer, and futures commission merchant customer identification rules, and that alignment is what makes cross-institution reliance under proposed Section 1033.220(a)(6) coherent. Changing the foundational concept for one class of institution would introduce a seam precisely where the rule contemplates institutions relying on one another.

The hallmarks should be stated because, without them, the test turns on the issuer’s own characterization of its relationships. This is the same structural problem Tokenization Systems has raised across the FinCEN, OCC, and FDIC channels: in its FINCEN-2026-0100 comment (Recommendation 2), that a block, freeze, and reject capability cannot be presumed from the existence of smart-contract functions and must be operationally verified; in its FINCEN-2026-0034 comment (Recommendation 5), that testing must be fit for purpose and trace on-chain behavior against internal records rather than review documentation alone; and in its comments to the OCC (RIN 1557-AF55, Recommendation 1) and the FDIC (RIN 3064-AG29, Recommendation 1), that an effective-program disposition should rest on observable indicators rather than attestation. A definitional test is if anything more consequential than those, because it determines whether the obligation attaches at all. An issuer that characterizes a relationship as informal has, on an uninstrumented reading of the proposed text, characterized itself out of the customer identification duty.

The Agencies’ own drafting supplies most of the hallmarks. Proposed Section 1033.100(a)(1) already lists the activities that create accounts: issuing or redeeming a payment stablecoin; managing related reserves; providing custodial or safekeeping services for stablecoins, reserves, or private keys; and activities directly supporting those. What the rule does not say is what evidence establishes that such a relationship exists. Tokenization Systems recommends that the final rule or its preamble identify indicators sufficient to establish a formal relationship, stated non-exclusively so that the risk-based structure is preserved: a contractual right of redemption against the issuer; an onboarding record created by the issuer for the person; inclusion on an issuer-maintained authorized-participant, authorized-minter, or allowlist; and a custody or safekeeping agreement with the issuer. Each is a fact an examiner can confirm from the issuer’s own records, and each is a fact the issuer necessarily possesses.

That these indicators are workable is not a matter of assertion. Tokenization Systems’ measurement work finds that the contractual perimeter is already countable from public disclosure and on-chain records, and that it is stable rather than a snapshot artifact.

Published legal scholarship recording issuer terms of service (Odinet, Tosato and Yadav, “The Moneyness of Stablecoins,” 136 Yale Law Journal, forthcoming 2026) finds direct redemption rights at Tether limited to 882 verified customer accounts, and Circle Mint accounts numbering 1,834 as of March 2025. Tokenization Systems’ own on-chain panel of monthly minting and redemption activity for the two largest dollar stablecoins over the period from 2024 onward finds that this authorized perimeter persists rather than fluctuating with volume, and a parallel panel for a third product finds an authorized-minter allowlist fixed at twenty addresses, observed at that count in twenty-five of twenty-seven monthly observations, even as monthly mint volume rose to a peak of approximately 4.08 billion dollars in August 2025 (author’s on-chain analysis via Dune Analytics). These figures describe stablecoin issuers as they operate today, not permitted payment stablecoin issuers, and they are offered to show that the class of indicator the recommendation proposes is observable in practice, not to characterize any future PPSI. The point they establish is modest and sufficient: an issuer knows who holds a contractual claim against it, that population is small enough to enumerate, and an examiner can therefore verify a formal-relationship determination against a list rather than against a characterization.

On the alternative Question 3 raises, Tokenization Systems notes that the Agencies’ footnote 59 already identifies the divergence: the mutual fund customer identification rule at 31 CFR 1024.100(a)(1) defines account as a “contractual or other business relationship,” while the bank, broker-dealer, and futures commission merchant rules use “formal relationship.” Whichever formulation the Agencies retain, the final rule should state whether the difference is intended to carry substantive weight. If a contractual relationship would be a formal relationship in every case under this rule, saying so removes the question. If it would not, the cases where the two diverge are exactly the cases the hallmarks should address.

Recommendation 3 (Question 2; proposed 31 CFR 1033.100(a)(1)(v)): Resolve the divergence between the preamble description of subparagraph (a)(1)(v) and its codified text, in favor of the codified text

Question 2 asks whether the definitions should be refined or clarified. Tokenization Systems identifies a divergence between the preamble and the proposed regulatory text that appears to be inadvertent and that materially changes the provision’s scope.

The preamble at 91 Fed. Reg. 37239 describes the fifth item in the illustrative list of account-forming activities as “providing services of a digital asset service provider that are authorized by the primary Federal payment stablecoin regulator or the State payment stablecoin regulator, as applicable, consistent with all other Federal and State laws, provided that the claims of payment stablecoin holders rank senior to any potential claims of non-stablecoin creditors with respect to the reserve assets, consistent with section 11 of the GENIUS Act.”

The proposed regulatory text at 91 Fed. Reg. 37270 codifies subparagraph (a)(1)(v) in full as: “Providing services of a digital asset service provider.”

The preamble version carries three qualifiers: regulator authorization, consistency with

other Federal and State law, and seniority of stablecoin-holder claims to reserve assets. The codified version carries none. The scope difference is not stylistic. Under the codified text, any digital asset service provider activity by a PPSI creates an account relationship and therefore a customer identification obligation. Under the preamble description, only authorized, law-consistent, seniority-preserving activity does.

Tokenization Systems recommends that the Agencies resolve the divergence **in favor of the codified text**, and correct the preamble accordingly. The qualified reading produces a perverse result: a PPSI providing digital asset service provider services **without** the required regulator authorization, or in a manner inconsistent with other law, or under a capital structure in which holder claims do not rank senior, would fall outside the account definition, and would therefore owe no customer identification duty with respect to those relationships. Non-compliance with the GENIUS Act's authorization condition would operate as a release from the Bank Secrecy Act's identification requirement. Nothing in the statute or the preamble suggests the Agencies intend that, and the qualifiers read naturally as a description of what the GENIUS Act permits a PPSI to do under 12 U.S.C. 5903(a)(7), not as a limit on which relationships require customer identification.

The recommendation is therefore to retain subparagraph (a)(1)(v) as codified and to revise the corresponding preamble passage in the final rule to describe the permission and the obligation separately. If instead the Agencies intend the qualifiers to be operative, they should appear in the regulatory text, and the final rule should address the consequence identified above. Either resolution is acceptable; leaving the preamble and the codified text describing different provisions is not, because the account definition is the load-bearing term for the entire obligation and its scope should not depend on which document a reader consults.

Recommendation 4 (Question 4; proposed 31 CFR 1033.100(b)(2)(iv) and 1033.220(a)(2)(ii)): Confirm that a redemption-triggered account may be verified after opening, so the rule does not operate as a redemption gate

Question 4 asks whether the proposed rule should be clarified or refined to account for situations where a customer's only desired relationship with a PPSI is to redeem a payment stablecoin. The preamble frames the case concretely: an individual with no established relationship acquires a stablecoin from an exchange and seeks to redeem it with the issuer, and "[t]hat redemption could establish an account with the PPSI and make the individual a customer."

Tokenization Systems recommends that the Agencies clarify this case, and recommends the specific clarification that verification may be completed within a reasonable period **after** the account is opened, consistent with proposed Section 1033.220(a)(2)(ii), rather than as a precondition to accepting the redemption request.

The reason is that redemption is not one transaction type among several. It is the exit path, and it is the mechanism by which a payment stablecoin's claim to par value is tested. The proposed rule's own structure recognizes the asymmetry: proposed Section 1033.100(b)(2)(iv) excludes from the customer definition "[a] person acquiring or redeeming

a payment stablecoin from a means other than directly from or directly to the permitted payment stablecoin issuer,” so secondary market exit creates no customer relationship, while direct redemption does. A holder therefore faces a choice between an exit that triggers no identification duty and an exit that does.

If the final rule were read to require completed verification before a redemption request may be accepted, the practical effect would be to add an identification step to the one path that leads to par and to leave the other path unchanged. The direct-redemption perimeter is already narrow: the published scholarship cited above records direct redemption rights limited to 882 verified customer accounts at Tether and 1,834 Circle Mint accounts as of March 2025, with the remaining holders confined to secondary markets whose liquidity under stress is untested. Those figures describe today’s issuers rather than permitted payment stablecoin issuers, and the perimeter under the GENIUS Act framework may well be wider. The structural point does not depend on the specific counts: whatever the perimeter’s size, a verification-before-redemption reading narrows it further at exactly the moment when holders are most likely to seek the direct path, which is a period of stress.

The clarification Tokenization Systems recommends is available within the rule as proposed and requires no new policy. Proposed Section 1033.220(a)(2)(ii) already provides that the customer identification program must contain procedures for verifying identity “within a reasonable period of time after the customer’s account is opened.” Applying that timing to the redemption-triggered account is the natural reading, and stating it in the preamble to the final rule would remove the ambiguity Question 4 identifies. The Agencies may reasonably pair that clarification with the risk-based structure of Section 1033.220(a)(2): a redemption of unusual size or pattern may warrant verification before completion, and nothing in this recommendation asks the Agencies to foreclose that. The recommendation is that the default not be inverted, so that ordinary redemption is not gated on completed identification while the secondary-market alternative remains open.

II. Group II: The measured population and the reliance chain (Recommendations 5 and 6)

Recommendation 5 (Additional Questions 1, 4, 8, and 9; Question 1): State which object the population estimate measures, and re-derive the affected population on the object the rule defines

Additional Question 4 asks directly: “How many primary market customers does a typical issuer of payment stablecoin-type products interact with?” Additional Questions 1, 8, and 9 ask whether the baseline population estimates are accurate, what share of PPSIs already maintain customer identification programs, and whether it is reasonable to assume that issuers already know their existing customers’ true identities. Each requests data. Tokenization Systems has measured a closely related quantity and offers it here, together with a methodological observation that Tokenization Systems believes is more consequential than the numbers.

The methodological observation. The regulatory impact analysis derives its population estimate from a specific measurement. As the analysis states, “[t]o estimate the number of expected primary market customers a future PPSI might interact with, FinCEN examined current on-chain minting and redemption activity as observable from publicly available data.” On that basis, the analysis reports that almost all reviewed products had “fewer than 1,000 primary market customers in a given year,” that a small number had “over 250,000 customers,” and that “the average number of an issuer’s primary market customers was approximately 17,000.”

The rule’s obligation, however, does not attach to on-chain minting and redemption counterparties. It attaches to persons with whom the issuer has a formal relationship, as proposed Section 1033.100(a) defines that term, and proposed Section 1033.100(a)(2)(iv) expressly provides that ownership or control of stablecoins alone is not enough. These are different objects, and they can diverge substantially in both directions. An address that appears in mint or redemption flow may be a settlement address, an intermediary’s operational wallet, a routing contract, or a single participant transacting through many addresses, none of which is by itself a formal relationship. Conversely, a single authorized participant with a contractual redemption right may transact through numerous addresses, or in a given year through none at all, while remaining a customer whose identity the issuer must have verified.

The consequence is that the estimate of approximately 17,000 average primary market customers, and the finding that a small number of products exceed 250,000, may be measuring the volume and topology of on-chain flow rather than the size of the population the rule reaches. Because the analysis’s per-institution burden estimates are built on that population count, an object mismatch at the counting stage propagates into every downstream figure. Tokenization Systems does not contend that the burden estimates are too high or too low; it observes that the object on which they rest is not the object the rule defines, and that this is prior to any question about cost per customer.

The data. Tokenization Systems offers the following measurements of the contractual perimeter, which is the object closer to the rule’s definition. All describe stablecoin issuers as they operate today rather than permitted payment stablecoin issuers, and they are offered as evidence about measurement feasibility and order of magnitude, not as forecasts.

- Published legal scholarship recording issuer terms of service, cited above and listed in the appendix, finds direct redemption rights at Tether limited to 882 verified customer accounts, and Circle Mint accounts numbering 1,834 as of March 2025. The Circle figure’s as-of date should be treated as material: the perimeter may have changed since.
- Tokenization Systems’ on-chain panel of monthly minting and redemption activity for the two largest dollar stablecoins, covering 2024 onward, finds that this authorized perimeter is persistent rather than a snapshot artifact (author’s on-chain analysis via Dune Analytics, as above).
- A parallel panel for a third product finds an authorized-minter allowlist fixed at twenty addresses, observed at that count in twenty-five of twenty-seven monthly observations, over a period in which monthly mint volume rose to a peak of

approximately 4.08 billion dollars in August 2025. Volume moved by orders of magnitude while the authorized perimeter did not, which is the clearest available illustration that flow-based and relationship-based counts measure different things.

Read against the analysis’s own findings, these measurements are not in tension with the modal case. The analysis found that almost all reviewed products had fewer than 1,000 primary market customers annually, and the contractual perimeters measured above (882, 1,834, and 20) sit within or below that range. The tension is with the mean of approximately 17,000, which appears to be driven by the outlier products exceeding 250,000 counterparties. For a rule whose per-institution burden estimate depends on a typical issuer’s customer count, a mean drawn from a distribution with outliers of that magnitude is unlikely to describe a typical issuer, and the analysis’s own modal finding is the better guide.

What Tokenization Systems recommends. First, that the final rule’s analysis state expressly which object its population estimate measures, and acknowledge the difference between on-chain counterparties and formal-relationship account holders. Second, that the affected-population estimate be re-derived, or at least cross-checked, against the contractual perimeter, using data issuers already possess: an issuer knows the size of its authorized-participant or verified-account list, and the Agencies can request that figure directly rather than infer it from chain data. Third, and responsive to Additional Questions 8 and 9, that the assumption that existing customers need no first-year re-verification be evaluated against the same object. An issuer that maintains a verified-account list has, by construction, formed some belief about those identities; whether that belief meets the proposed standard is a question about the quality of the onboarding record, not about the number of addresses observed on chain. Additional Question 9’s assumption is likely to hold for the narrow contractual perimeter and is materially less likely to hold for a population defined by on-chain activity, which is a further reason the object distinction matters.

Finally, and responsive to Question 1, this analysis supports keeping the customer identification perimeter at the primary market. The measurement above shows that the primary-market relationship set is small, enumerable, and stable, which is what makes an identification duty administrable there. Extending customer identification requirements to secondary market activity would attach the duty to a population that is neither enumerable by the issuer nor in any relationship with it, which is the outcome the preamble correctly describes as nearly impossible to implement.

Tokenization Systems states the cost of that position rather than leaving it implicit, because the cost is real and is documented in the central-banking literature. Garratt and Shin, writing for the Bank for International Settlements, observe that a token circulating as a digital bearer instrument carries an identification weakness that is structural rather than incidental: a holder can come to hold one issuer’s liability having been identified only by a different issuer, so that the first issuer “must rely on the KYC practices of issuer 2,” and in the limiting case “issuer liabilities may be transferred to individuals who have not had their identities verified by anyone.” That is a fair description of the gap a primary-market perimeter leaves open, and the Agencies should weigh it.

It is nonetheless an argument for a different instrument, not for extending this one. A customer identification program acts at account opening, on a person the issuer is dealing with; it has no point of application to a holder the issuer never meets. Closing the gap Garratt and Shin describe requires transaction-side instruments that operate after issuance, which is where the program has already made its recommendation: Tokenization Systems' comment on FINCEN-2026-0100 (Recommendation 5) addressed graduated treatment of secondary market risk through suspicious-activity reporting, and that remains the appropriate instrument for it. This comment does not re-argue that position here.

Recommendation 6 (Question 7; Additional Questions 5 and 12; proposed 31 CFR 1033.220(a)(6)): Address the reliance asymmetry the preamble identifies, and reconcile the measurement basis of the threshold that determines it

Question 7 asks the expected likelihood that a PPSI would rely on another PPSI's customer identification program or on that of another Federal functionally regulated financial institution. Additional Question 5 asks whether any of the 14,575 institutions in Table 2 would be relied upon. Tokenization Systems' comment on these questions is that the likelihood of reliance is conditioned by an asymmetry the Agencies have themselves identified but have not resolved, and that the asymmetry is in turn governed by a threshold whose measurement basis diverges across these parallel rulemakings.

The asymmetry. The preamble states it plainly: proposed Section 1033.220(a)(6) permits reliance only on an institution "regulated by a Federal functional regulator," and the Agencies observe that this "create[s] a disparity between PPSIs that fall under a primary Federal payment stablecoin regulator and a State payment stablecoin regulator." As the preamble explains, a state qualified payment stablecoin issuer would be able to rely on a procedure performed by a PPSI that is a subsidiary of an insured depository institution, but a PPSI that is a subsidiary of a federally regulated depository institution "would not be able to rely on a procedure performed by a State qualified payment stablecoin issuer because such issuers are not overseen by a Federal functional regulator."

Tokenization Systems does not recommend that the Agencies abandon the Federal functional regulator condition, which is drawn from the existing customer identification rules and carries a coherent rationale: reliance is safe to the extent the relied-upon institution is subject to a supervised program. Tokenization Systems recommends that the final rule address the asymmetry rather than only note it, and identifies two routes. The Agencies could permit reliance on a state qualified payment stablecoin issuer where that issuer is subject to a state regime the Secretary has determined to be substantially similar under the GENIUS Act's state-certification machinery, with the same annual certification and contract conditions proposed Section 1033.220(a)(6) already requires of federally regulated counterparties. Alternatively, the Agencies could state expressly that the asymmetry is intended, and explain the supervisory basis for treating a certified state regime as insufficient for reliance purposes when the GENIUS Act treats it as sufficient for supervision purposes. Either resolution informs the Question 7 likelihood estimate; the present position, where the disparity is acknowledged without disposition, leaves commenters and issuers unable to predict the reliance landscape the rule will produce.

The threshold that determines which side an issuer sits on. Whether an issuer is state supervised, and therefore whether it sits on the disadvantaged side of this asymmetry, is not a free choice. The GENIUS Act’s state-supervision option at 12 U.S.C. 5903(c), cited in the proposal’s own footnote 3, is available to issuers with a consolidated total outstanding issuance of not more than ten billion dollars.

Tokenization Systems’ comment record across the parallel dockets permits an observation available from no single docket. In its comment to the OCC on RIN 1557-AF55 (Recommendation 7), Tokenization Systems identified that the OCC’s proposed supervisory consultation threshold of ten billion dollars or more **in assets** diverges from the FDIC’s parallel threshold, in RIN 3064-AG29, of ten billion dollars or more **in outstanding issuance value**, and recommended that the two be reconciled because an issuer can sit above one and below the other. This proposal adds a third instance of the same numeral on a third basis: **consolidated total outstanding issuance** for state-supervision eligibility. Consolidated total outstanding issuance is not the same quantity as outstanding issuance value, which in turn is not the same quantity as assets.

The consequence is compounding rather than merely untidy. An issuer’s eligibility for state supervision determines its position in the reliance chain this rule creates; its position relative to the OCC and FDIC consultation thresholds determines its supervisory exposure under the sibling rules; and all three turn on ten-billion-dollar lines measured on different quantities. An issuer near those lines faces a structure in which the choice of legal form, the location of assets, and the consolidation perimeter can move it across one boundary without moving it across the others. Tokenization Systems recommends that the Agencies state, in the final rule or in coordination with the sibling rulemakings, whether the three thresholds are intended to identify the same population. If they are, a single measurement basis should be adopted. If they are not, saying so expressly is sufficient, and it would let issuers and commenters reason about the three regimes as designed rather than as coincidentally numbered.

One further consideration bears on the Question 7 likelihood estimate. Garratt and Shin’s analysis of bearer-instrument tokens, cited above, describes cross-issuer reliance as an inherent property of the model rather than an elective arrangement: where a token circulates, one issuer ends up relying on another’s identification work whether or not either intended it. If that is right, the demand for the formal reliance mechanism proposed Section 1033.220(a)(6) creates is likely to be higher than a survey of current bilateral arrangements would suggest, because the informal version of it is already a structural feature of how these instruments move. That is a further reason to resolve the asymmetry rather than leave it noted.

On Additional Question 5 specifically, Tokenization Systems has no basis to estimate what share of the 14,575 institutions in Table 2 would participate in reliance arrangements, and does not speculate. The observation it offers is that the answer depends on the disposition of the asymmetry above: if reliance on certified state regimes remains unavailable, the addressable set of relied-upon institutions is bounded by the federally regulated population, and any estimate built on the full Table 2 count will overstate it.

III. Group III: How identity is verified, and what it is screened against (Recommendations 7 and 8)

Recommendation 7 (Questions 5, 6, and 8; proposed 31 CFR 1033.220(a)(2)(ii)): State observable criteria for digital identity credentials rather than naming tools

Question 5 asks whether the regulatory text should explicitly discuss digital identity solutions or verifiable credentials, and how it could best do so given the range of tools available. Question 6 asks the benefits and risks of using them in identity verification.

Tokenization Systems recommends that the Agencies **not** name specific tools, technologies, or standards in the regulatory text, and instead state the observable criteria by which any credential supports the reasonable belief the rule requires. The Agencies' own framing supports this. The preamble notes that guidance issued more than twenty years ago already recognized an "electronic credential" as one method of forming a reasonable belief, and that the difficulty today is not permission but heterogeneity: these tools "vary in how they operate and in their trustworthiness." A rule that names tools will be outrun by the market and will confer an implicit endorsement the Agencies cannot maintain. A rule that says nothing will be satisfied by whatever a vendor attests.

The path between those failures is to specify what makes a credential trustworthy in terms an examiner can check. Tokenization Systems recommends that the final rule, in preamble or guidance accompanying proposed Section 1033.220(a)(2)(ii), state that a PPSI relying on a digital identity solution or verifiable credential should be able to demonstrate, at minimum: what identity evidence the credential's issuer collected and verified before issuing it, and to what assurance level; whether the credential is bound to the person presenting it, and by what mechanism; whether the credential's status can be checked at the time of reliance, including revocation; and what the PPSI does when credential verification fails or returns an indeterminate result. These are properties of the credential and the reliance process, not of any particular vendor or protocol, and each is a fact a PPSI can evidence and an examiner can test.

This is the same principle Tokenization Systems has urged in the adjacent dockets, applied to a new surface. In its comment on FINCEN-2026-0034 (Recommendation 5), Tokenization Systems argued that testing must be fit for purpose, tracing behavior against records rather than reviewing documentation; in its comments to the OCC (RIN 1557-AF55, Recommendation 1) and the FDIC (RIN 3064-AG29, Recommendation 1), that an effective-program determination should rest on observable indicators rather than attestation. Digital identity is where that principle bites hardest, because the credential arrives as a cryptographic assertion that is easy to mistake for a verified fact. A signature proves that a credential was issued by a particular issuer. It does not prove what that issuer checked before issuing it. The criteria above are the ones that distinguish the two.

Responsive to Question 6, the benefits and risks follow from the same distinction. The

benefit is that a well-constructed credential can carry a stronger and more consistently applied identity assurance than ad hoc documentary review, and can do so repeatedly at low marginal cost. The risk is concentration and opacity: reliance on a small number of credential issuers concentrates the consequences of a failure at any one of them, and a credential whose underlying verification process is not visible to the relying institution transfers the identification judgment to a party the rule does not reach. Recommending observable criteria addresses both, because a PPSI that can evidence the four properties above has, by construction, looked through the credential to the process behind it.

Responsive to Question 8, this is also where the rule can be most conducive to innovation without weakening it. Criteria stated as properties rather than technologies let a new method qualify on the day it can demonstrate the properties, with no rulemaking required.

Recommendation 8 (Question 8; proposed 31 CFR 1033.220(a)(4)): State the designation mechanism and notification timing for the government lists, and confirm the relationship to existing sanctions screening

Proposed Section 1033.220(a)(4) would require a PPSI's customer identification program to include reasonable procedures for determining whether a customer appears on any list of known or suspected terrorists or terrorist organizations issued by a Federal agency and designated as such by Treasury in consultation with the Federal functional regulators. The preamble then states that "Treasury and the Federal functional regulators have not yet designated any such lists," that PPSIs accordingly have no affirmative duty to seek out such lists, and that PPSIs "would receive separate notification regarding the lists that must be consulted."

Tokenization Systems notes that this provision mirrors the corresponding provision in the existing customer identification rules, and does not recommend that the Agencies depart from that model. It recommends two clarifications that cost the Agencies little and improve the provision's examinability.

First, the final rule should state the mechanism and expected form of the separate notification, and whether the twelve-month compliance period runs from issuance of the final rule regardless of when any list is designated. As proposed, the rule creates an obligation whose object does not yet exist. An examiner asked whether a PPSI's procedures under Section 1033.220(a)(4) are adequate has, at present, nothing to test them against, and a PPSI asked to build them has nothing to build against. Stating how and when designation will be communicated converts a presently untestable obligation into a scheduled one.

Second, the final rule should confirm the relationship between this obligation and the sanctions screening a PPSI already performs. The preamble observes that many PPSIs already have procedures for checking Federal lists, including those circulated by the Office of Foreign Assets Control, and that failure to comply with those requirements carries civil and criminal exposure. It does not say whether performing that screening satisfies Section 1033.220(a)(4) in whole, in part, or not at all, pending designation. Tokenization Systems recommends that the final rule state expressly that sanctions screening and Section

1033.220(a)(4) list comparison are distinct obligations with distinct objects, if that is the Agencies' intent, so that an issuer does not treat one as discharging the other. The point connects to Tokenization Systems' comment on FINCEN-2026-0100 (Recommendation 4), which addressed the integration of sanctions compliance and anti-money-laundering program obligations; the concern here is the converse of integration, which is that two obligations performed by the same operational function should not be assumed to be one obligation.

Conclusion

This rule sets the boundary of the customer identification duty for a class of institution that does not yet exist, and it does so through definitions that other obligations in the GENIUS Act framework will inherit. Tokenization Systems' recommendations are directed at making that boundary explicit where the proposal leaves it implicit, and observable where the proposal leaves it to characterization.

Two of the eight warrant particular attention because they concern the proposal's internal consistency rather than its policy. Recommendation 1 asks the Agencies to codify a boundary they have already drawn in footnote 57, so that a customer identification definition of account cannot narrow the lawful-order obligation that proposed Section 1033.220(c) preserves in the same rule. Recommendation 3 identifies a divergence between the preamble description of proposed Section 1033.100(a)(1)(v) and its codified text, where the preamble carries three qualifiers the regulatory text omits, and where the qualified reading would relieve an issuer of identification duties precisely where its activities were unauthorized. Neither requires the Agencies to change a policy judgment. Both require only that the rule say, in the place that binds, what the Agencies appear already to have decided.

Recommendation 5 supplies data the Agencies expressly requested in Additional Question 4, together with the observation that the population estimate and the rule's obligation attach to different objects. Tokenization Systems submits that the object distinction is the more useful contribution: the specific counts will change, and the question of whether one is counting on-chain counterparties or contractually formalized relationships will not.

Tokenization Systems appreciates the opportunity to comment and is available to provide any of the underlying analysis referenced above.

Respectfully submitted,

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Appendix: Selected Sources

Rulemaking of record

- Permitted Payment Stablecoin Issuer Customer Identification Program, 91 Fed. Reg. 37234 (June 22, 2026) (joint proposed rule of FinCEN, OCC, Board of Governors of the Federal Reserve System, FDIC, and NCUA) (to be codified at 31 CFR part 1033), Docket FINCEN-2026-0101, RIN 1506-AB74.

Parallel and companion rulemakings cited

- Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism Program and Sanctions Compliance Program Requirements, 91 Fed. Reg. 18582 (Apr. 10, 2026), Docket FINCEN-2026-0100.
- Bank Secrecy Act and sanctions compliance rule for OCC-supervised permitted payment stablecoin issuers, RIN 1557-AF55.
- Bank Secrecy Act and sanctions compliance standards for FDIC-supervised permitted payment stablecoin issuers, RIN 3064-AG29.
- Joint anti-money-laundering rule, 91 Fed. Reg. 18304.

Statutory authority

- Guiding and Establishing National Innovation for U.S. Stablecoins Act, Public Law 119-27, 139 Stat. 419 (2025), codified at 12 U.S.C. 5901 to 5916; in particular 12 U.S.C. 5901(16)(B) (lawful order), 5901(25) (primary Federal payment stablecoin regulator), 5903(a)(5)(A)(v) (customer identification program), 5903(a)(6)(B) (technological capability and compliance with lawful orders), 5903(a)(7) (digital asset service provider activities), and 5903(c) (state-level regulatory regime).
- 31 U.S.C. 5318(l) (customer identification minimum standards).

Existing customer identification rules cited for comparison

- 31 CFR 1020.100(a)(1) (banks); 31 CFR 1023.100(a)(1) (broker-dealers); 31 CFR 1024.100(a)(1) (mutual funds); 31 CFR 1026.100(a)(1) (futures commission merchants and introducing brokers).

External research and data cited

Rodney Garratt and Hyun Song Shin, “Stablecoins versus tokenised deposits: implications for the singleness of money,” BIS Bulletin No. 73 (Bank for International Settlements, April 11, 2023), including its observation that the digital bearer instrument model carries know-your-customer weaknesses because an issuer’s liability can be transferred to holders it has never identified.

Christopher K. Odinet, Andrea Tosato and Yesha Yadav, “The Moneyness of Stablecoins,” 136 Yale Law Journal (forthcoming 2026), Part III (Gatekeeping and Direct Claims), recording 882 verified customer accounts with direct redemption at Tether and 1,834 Circle

Mint accounts as of March 2025, with the remaining holders confined to secondary markets. The March 2025 as-of date applies to the Circle figure as recorded in that source.

Author's on-chain analysis via Dune Analytics: a monthly minting and redemption panel for the two largest dollar-denominated stablecoins from 2024 onward, showing persistence of the authorized redemption perimeter; and a monthly authorized-minter panel for a third dollar-denominated product across twenty-seven monthly observations, in twenty-five of which the authorized-minter count stood at twenty, while monthly mint volume reached a peak of approximately 4.08 billion dollars in August 2025. These measurements describe stablecoin issuers as they operate today and are offered as evidence of measurement feasibility and order of magnitude, not as claims about any permitted payment stablecoin issuer.